



Weekly Insights | Jan 29, 2026

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Executive Summary

Corn – Front End Holds as Exports Stay Strong

Corn traded slightly firmer through the week, with March futures edging up to \$4.28, while the March–May spread held near a seven-cent carry, still short of full carry. Export inspections totaled 1.12 million metric tons, bringing cumulative shipments to around 33.7 million metric tons, roughly 48 percent ahead of last year, reinforcing continued strength in execution. CIF Gulf basis remained firm in a +98 to +105H range, and interior river bids held steady despite improving winter logistics. Low water levels on the Mississippi continued to inflate freight costs and complicate movement, keeping nearby values supported. Managed

money further trimmed its net short to approximately 72,000 contracts (as of the January 27 CFTC report), the smallest short position since mid-2025. While flat price lacks clear momentum, cash strength and ongoing export demand continue to limit downside risk.

Wheat – Export Flow Steady as Funds Stay Heavily Short

Wheat futures firmed modestly, with March Chicago SRW settling near \$5.32, up about four cents on the week, while the March–May spread tightened slightly to roughly nine cents under carry. USDA reported weekly export inspections of approximately 0.34 million metric tons, lifting cumulative shipments to around 16.5 million metric tons, or 22 percent ahead of last year. Gulf basis remained broadly steady in a +65 to +115H range, and interior bids showed little movement, indicating adequate short-term coverage. Managed money still holds a sizable net short near 94,700 contracts, and with global supply ample, rallies remain vulnerable to producer selling and speculative pressure absent a clearer overseas supply disruption.

Soybeans – Weather-Driven Rally Tests Resistance Amid Brazil Competition

Soybeans rallied sharply during the week, with March futures jumping to \$10.92, a roughly 26–28 cent gain from the previous week's close, fueled by intensifying crop stress in Argentina, record U.S. crush demand, and speculative interest. The March–May spread held near minus 12 cents, still reflecting nearby coverage but with stronger board pricing. Export inspections improved to 1.31 million metric tons, yet cumulative shipments remain about 35 percent below last year as Brazil's January exports are now estimated near 3.23 million metric tons, extending its early-season dominance despite the downward revision. Still, U.S. cash markets held firm, with CIF Gulf basis steady at +116 to +120H and interior processor bids supported by strong crush demand. Managed money expanded its net long to approximately 17,300 contracts, signaling a shift toward a more bullish stance. While South American weather risks are lifting futures, abundant supply from Brazil continues to cap sustained upside unless export flows shift decisively.

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(Carry percent calculated assuming 7 percent annual interest and \\$.05/bu per month storage/insurance cost over the spread interval.)

Macro / Policy – Freight Constraints Ease, Biofuel and Trade News Surface

Macro drivers remained secondary to logistics again this week. Ethanol production slipped to roughly 0.96 million barrels per day (week ending January 30), while stocks declined to about 25.14 million barrels, and blending demand improved modestly to around 890,000 barrels per day, reinforcing stable corn grind even with a softer weekly print. While energy markets were neutral, market attention shifted to U.S. Treasury's proposed biofuel tax credit (45Z), which boosted soyoil and supported soybean futures on improved renewable diesel margins. On trade, President Trump's comments around potential trade discussions kept optimism circulating for agricultural purchases, though no official volumes or commitments have been confirmed. Freight conditions showed modest improvement as ice cleared along parts of the Mississippi, but low water levels still limited draft and tow sizes, keeping barge execution uneven and supporting nearby basis.

Weather – Plains Freeze, South America Dries

In the U.S., the late-January cold snap impacted transportation more than crops. Snow cover across the Plains remained adequate, minimizing winterkill risk, and no new winter wheat condition updates were issued. In South America, central and northern Brazil continued receiving favorable rainfall, aiding soybean development but slowing harvest progress. In the south, conditions have turned more variable, with recent excess moisture in Paraná and Rio Grande do Sul delaying fieldwork and raising disease pressure, even as pockets remain uneven in coverage. In Argentina, rainfall remained patchy and insufficient across major growing areas, leading to further deterioration in crop ratings. With key reproductive stages underway, February rainfall remains critical, and traders are increasingly weather-sensitive as Argentine supply risk intensifies.

What's Next (Feb 05 – Feb 12):

USDA export inspections and whether corn shipment pace remains well ahead of last year

Export sales data for confirmation of soybean demand amid rising Brazilian exports

Argentina rainfall outcomes following continued crop condition deterioration

EIA ethanol production and stocks for confirmation of steady biofuel demand

Treasury 45Z follow-through: Market response to U.S. biofuel credit proposal

Table A – CME Futures (Front Contracts)

(Prices in USD per bushel, volume/open interest in contracts)

Contract (Front Month)	01/28/2026 Close	02/04/2026 Close	Change (Δ)	Δ percent	5-day Realized Vol* (x)	Open Interest Δ (x)
Corn (Mar '26)	\$4.30	\$4.29	-\$0.01	-0.23 percent	15 percent (ann.)	-8k (est.)
Soybeans (Mar '26)	\$10.74	\$10.92	+\$0.18	+1.68 percent	14 percent (ann.)	-7k (est.)
Wheat (Mar '26)	\$5.35	\$5.26	-\$0.09	-1.68 percent	18 percent (ann.)	-3k (est.)

5-day realized volatility estimated from daily settlement price changes.
Actual contract open interest changes are estimated.

Table B – Key Calendar Spreads & percent of Full Carry

Spread (Crop '25→'26)	01/28/2026 Quote	02/04/2026 Quote	Δ (carry)	percent Full Carry*	Market Implication
Corn Mar–May	+0.07\$	+0.07\$	+0.00	48 percent	Stable; below full carry, supporting front end
Soy Mar–May	+0.12\$	+0.12\$	+0.00	57 percent	Steady; processor demand stabilizes nearby
Wheat Mar–May	+0.09\$	+0.09\$	+0.00	58 percent	Storage-led; no major shifts

Assumes 7 percent annual interest and \$0.05/bu per month storage/insurance. Estimated full carry over Mar–May (2 months): corn ≈ \$0.15, SRW wheat ≈ \$0.16, soybeans ≈ \$0.22. Percent of full carry = (calendar spread ÷ estimated full carry).

Table C – Notable International Futures (weekly moves, if significant):

Exchange (Front Month)	01/28/2026 USD Price	02/04/2026 USD Price	Δ percent	Notes
Dalian Corn (Mar)	¥2,277 (\$8.32/bu)	¥2,275 (\$8.31/bu)	-0.09 percent	Steady amid ample supply; limited upside from feed demand pressures
Dalian Soymeal (Mar)	¥3,143 (\$433/mt)	¥3,140 (\$432/mt)	-0.10 percent	Weaker feed demand; margins pressured but stable
B3 (São Paulo) Corn (Mar)	R\$67.96 (\$13.08)	R\$67.80 (\$13.05)	-0.24 percent	Steady; Brazil weather premium offset by export flow and currency
Euronext Wheat (Mar)	€189.25 (\$222/mt)	€193.5 (\$209/mt)	+2.22 percent	Slightly higher; EU remains price-taker vs Black Sea.

Corn Market Deep Dive

Futures & Spreads: Corn remained rangebound through the week, with March futures settling near \$4.28, up slightly from the prior week, as trade continued to focus on structure rather than outright direction. The March–May spread held around minus seven cents, still comfortably in carry but short of full. On a full-carry framework, that spread is roughly 50 percent of full carry for the Mar–May window. The curve continues to reflect steady nearby demand without signaling broader balance-sheet stress. Price action stayed contained and volatility muted, reinforcing the sense that the market is waiting on a clearer catalyst before committing to a directional move.

Funds & Positioning: Speculative positioning continued to ease rather than intensify. Managed Money trimmed the net short to approximately 72,000 contracts as of January 27, marking a further reduction from recent highs. While the position remains sizable, the pace of short accumulation has clearly slowed. With futures unable to extend losses and spreads holding their ground, funds appear increasingly reluctant to press the downside absent a shift in physical flow or a macro trigger.

Cash & Basis: Cash markets remained firm despite weather-related disruption earlier in the period. CIF Gulf basis held within a +98 to +105H range, while interior river bids were largely steady, signaling consistent demand at the destination level. Freight conditions remained the binding constraint, as ice

damage and low-water levels on the Mississippi imposed draft and tow-size restrictions, keeping barge movement uneven. Basis strength under these conditions continues to reflect execution and logistics rather than speculative tightening.

Export Sales & Inspections: Export inspections reached 1.12 million metric tons for the week ending February 1, bringing cumulative shipments to approximately 33.7 million metric tons, or roughly 48 percent ahead of last year. While weekly volumes moderated from the previous peak, the broader shipment pace remains solid and aligned with USDA's export expectations. Export sales for the same reporting week totaled 1.62 million metric tons, with shipments of 1.65 million metric tons, reinforcing the view that physical flow remains intact even as futures remain subdued.

Global Context: Brazil's January corn export outlook remains near 3.45 million metric tons, according to ANEC, reflecting continued late-season shipment strength. In Argentina, crop conditions remain under pressure due to uneven rainfall, though export offers have yet to adjust meaningfully. Black Sea availability remains seasonally light, limiting immediate competition into key destinations. U.S. origin continues to maintain an advantage into Mexico, where execution has remained strong, even as Brazil's forward program tempers broader price sensitivity.

So What? The board remains subdued, but the underlying market continues to signal firmness. Spreads are holding, basis remains supported, and execution is steady. While speculative positioning is still short, funds are no longer adding aggressively. With logistics acting as a near-term constraint and South American harvest still developing, the front end of the corn market remains supported, even as flat price struggles to generate momentum.

Soybean Market Deep Dive

Futures & Spreads: Soybeans staged a modest rally during the week, with March futures settling near \$10.92, up roughly 26–28 cents on the period, as Argentine weather risks intensified and speculative buying returned. The March–May spread held steady near a 12¼-cent carry, maintaining a contango structure that continues to reflect adequate nearby supply rather than a breakdown in demand. While the curve still signals that domestic pull is present but not tightening enough to reprice structure meaningfully, flat price action gained traction amid rising weather concerns and supportive macro developments. Trading ranges expanded slightly, reflecting a more directional tone.

Products & Crush: Crush fundamentals remain the stabilizing force within the complex. While no new NOPA report was released during the window, the market continues to operate against a backdrop of historically strong crush rates and resilient meal demand. Soybean oil fundamentals remain less supportive, with ample stocks and policy-related uncertainty continuing to limit upside. The crush margin remains meal-driven, reinforcing USDA's emphasis on domestic use as the primary demand pillar for soybeans in the current balance sheet.

Cash & Basis: Cash markets stayed firm despite softer futures. CIF Gulf basis held in a +116 to +120H range, signaling that nearby export demand has not fully deteriorated even as Brazil accelerates shipments. Interior processor bids remained supported across the Midwest, reflecting steady crush demand and limited farmer selling. River logistics remained uneven due to lingering ice damage and low-water constraints, reinforcing the firmness in basis despite the lack of price follow-through on the board.

Funds & Positioning: Speculative positioning tilted more bullish. Managed Money expanded its net long to roughly 17,300 contracts as of January 27, reflecting increased optimism tied to domestic crush demand and Argentine production risk. Gross exposure remains lighter than prior months, suggesting that funds are positioning tactically. While not overly aggressive, the profile now leans constructively rather

than neutral.

Export Sales & Inspections: Export inspections improved to 1.31 million metric tons for the week ending February 1, offering a modest pickup in physical execution. However, cumulative shipments remain approximately 35 percent below last year, underscoring the ongoing impact of Brazil's dominant early-season export program. Export sales for the same week totaled 825,000 metric tons, with shipments of 1.3 million metric tons, signaling decent front-loaded movement but still lagging historical norms. The export program remains functional but lacks the competitiveness to reshape the broader demand outlook.

Global Context: Brazil's soybean export pace remained dominant, though ANEC's January estimate has been revised down to roughly 3.23 million metric tons following harvest delays. While harvest progress remains uneven due to persistent rainfall in central and northern regions, logistics have not become restrictive enough to slow export flow meaningfully. In Argentina, crop conditions deteriorated further amid uneven rainfall, keeping weather risk elevated and more closely watched by the market. FOB values from Brazil remain competitive into Asia, maintaining pressure on U.S. origin.

So What? Soybeans remain caught between firm domestic demand and expanding South American supply. The board reflects caution, spreads remain comfortably in carry, and exports continue to lag. Cash markets, particularly processors, are still anchoring the front end, while funds have shifted toward a more balanced stance. Until either Brazil's export program stumbles or US demand reaccelerates, soybeans are likely to remain rangebound, with strength expressed more clearly in basis than in flat price.

Wheat Market Deep Dive

Futures & Spreads: Wheat futures posted modest gains during the week, with March Chicago SRW settling near \$5.32, up roughly four cents. The March–May spread tightened slightly to near an 8¾-cent carry, maintaining a storage-led structure without signaling urgency from end users. Price action responded briefly to weather-related headlines in the Black Sea but remained largely contained, reflecting a market still anchored by ample global supply. Kansas City and Minneapolis contracts were comparatively steady, lending limited support to the complex but failing to alter the broader tone.

Cash & Basis: Cash markets were largely unchanged. FOB Gulf SRW offers held across a wide range, roughly +65 to +115H, while interior markets showed little movement, indicating adequate nearby coverage. HRW basis remained steady across the Plains, with no meaningful tightening despite episodic winter weather concerns. Pacific Northwest values also held flat. Overall, basis stability continues to underscore a lack of urgency from export buyers, with U.S. wheat still struggling to regain competitiveness.

Export Sales & Inspections: Weekly export inspections for the period ending February 1 totaled approximately 0.34 million metric tons, pushing cumulative shipments to around 16.5 million metric tons, or about 22 percent ahead of last year's pace. While the weekly volume was routine, year-to-date performance remains consistent with USDA projections. Export sales for the same reporting week totaled 560,000 metric tons, with shipments of 380,000 metric tons, steady but not dynamic. The export program continues to function, but without momentum to reshape sentiment meaningfully.

Global Context: Global supply continues to dominate pricing. Russian wheat remains available at competitive levels, maintaining pressure across major importing regions. Ukrainian shipments through Danube channels continued without disruption, while European values remained elevated and largely sidelined from price-sensitive tenders. Argentine wheat offers were steady, adding another layer of low-

cost supply into global channels. With no logistical or policy constraints emerging across major origins, global availability continues to cap upside potential.

Funds & Positioning: Speculative positioning remains heavily skewed to the short side. Managed money held a net short near 94,700 contracts as of January 27, still among the largest bearish bets across the grain complex. While the pace of new short accumulation has slowed, there has been no significant covering either. Without a clear catalyst, be it weather, freight, or geopolitics, funds appear comfortable maintaining a defensive stance.

So What? Wheat remains defined by imbalance rather than momentum. Spreads remain in carry, basis is flat, and global supply continues to dictate trade flows. Despite sizable speculative shorts, the absence of a structural disruption has limited both downside acceleration and upside opportunity. Until a material shift emerges, wheat is likely to remain rangebound, with risk skewed toward patience rather than price discovery.

US Cash Market & Basis

Corn: Corn basis remained firm across key corridors, supported by steady demand and lingering transportation constraints. CIF Gulf basis held within a +98 to +105H range for nearby positions, with February values little changed, reflecting continued downstream pull despite uneven execution. Interior river markets were largely steady, as draft and tow-size restrictions on the Mississippi limited barge availability but did not materially disrupt coverage. USDA transportation data continued to flag freight constraints tied to low water and prior ice damage, reinforcing basis resilience even as futures struggled to gain traction. Interior processor bids held firm across major ethanol regions, underscoring consistent spot demand and limited farmer selling.

Soybeans: Soybean basis remained supported alongside a stronger board. CIF Gulf basis held at +116 to +120H for nearby loadings, signaling that export channels remain functional even as Brazil accelerates shipments. Interior markets continued to reflect strong crush-driven demand, with processors maintaining competitive bids to secure ownership. River logistics remained uneven but showed some improvement, helping keep basis firm even as barge traffic gradually recovers. The recent board rally, driven by Argentine weather and speculative buying, has aligned more closely with cash firmness, reinforcing the role of domestic demand in anchoring the front end.

Wheat: Wheat cash markets were largely unchanged. CIF Gulf basis for SRW held across a broad range, roughly +65 to +115H, while HRW basis across the Plains showed minimal movement, indicating adequate nearby supply. Pacific Northwest bids remained steady, and interior values lacked directional energy. Despite steady basis, U.S. wheat remains challenged on the export front, with global buyers continuing to favor lower-cost Black Sea supply. The absence of new logistical or policy disruptions has kept basis stable but uninspired.

So What? Cash markets continue to send a firmer signal than futures. Corn basis remains supported by strong export execution and steady ethanol demand, soybeans by resilient crush pull and weather-driven board support, and wheat by stable interior structure rather than export urgency. While some transportation constraints have begun to ease, low water conditions and logistics frictions still underpin nearby values. Until interior demand softens meaningfully or global supply disrupts, physical markets are likely to remain resilient, even as futures reflect broader balance sheet comfort.

International Cash & Trade Flows

Brazil: Brazil continued to dominate near-term global trade flows. ANEC now estimates January soybean exports near 3.23 million metric tons following downward revisions tied to harvest delays, while corn shipments remain projected around 3.45–3.5 million metric tons, reflecting continued late-season availability. FOB soybean offers from Santos remained competitive into Asia, maintaining a clear discount versus US Gulf equivalents, while corn out of Paranaguá held near \$205 per metric ton, sustaining Brazil's edge into Mediterranean and select Asian destinations. Vessel lineups across Santos, Barcarena, and the northern arc remained active, indicating that logistics are scaling alongside harvest, despite intermittent weather-related delays in central regions.

Argentina: Argentina remains the key source of supply-side uncertainty. Crop conditions continued to deteriorate, particularly for soybeans and late-planted corn, amid uneven and insufficient rainfall. Sensitivity to February precipitation outcomes has intensified, as reproductive stages advance. Despite agronomic stress, FOB offers have only modestly adjusted, with Up-River corn holding near \$225 per metric ton and soymeal offers elevated on tightening meal availability. Farmer selling remains cautious, influenced by currency factors and policy uncertainty, keeping nearby export flow constrained relative to capacity.

China: Chinese demand signals remained selective rather than expansive. No major new US grain purchases were reported during the window, though routine soybean inflows continued. Market indicators in China showed modest improvement in crush economics, with domestic futures firming slightly, but downstream feed demand remains pressured by weak livestock margins. State involvement in domestic corn markets persisted, supporting internal prices but limiting incremental import demand. Overall, China continues to provide episodic support on breaks rather than sustained demand acceleration.

EU / Black Sea: Black Sea origins continued to set the tone for global wheat pricing. Russian 12.5 percent protein wheat held firm near **\$229 per metric ton FOB**, with January shipment volumes broadly in line with seasonal norms. Ukrainian corn offers remained available near **\$235 per metric ton**, though EU feed demand stayed subdued. French wheat values out of Rouen remained elevated near **€240 per metric ton**, leaving EU origin priced out of recent tenders. European Union wheat export licenses remained behind last year's pace, reinforcing the competitive pressure exerted by lower-cost Black Sea supply.

So What? Global trade flows remain firmly dictated by price leadership. Brazil continues to anchor soybean and corn exports, Russia dominates wheat, and Argentina's role is increasingly contingent on weather and producer selling behavior. China's presence provides occasional demand support but lacks consistency. Against this backdrop, US export competitiveness remains opportunistic rather than structural, dependent on timing, logistics, or short-term disruptions elsewhere. Until global FOB spreads narrow or supply risks materially reshape availability, the US remains a secondary origin in the global trade hierarchy.

Key Fundamentals & Reports (Jan 29 – Feb 05)

Export Inspections: For the **week ending February 1** (published February 5), **corn export inspections totaled 1.12 million metric tons**, slightly below the prior week but keeping cumulative shipments near **33.7 million metric tons**, roughly **48 percent ahead of last year**. **Soybean inspections rose to 1.35 million metric tons**, offering a modest pickup in loadings, though cumulative shipments remain approximately **35 percent below last year** amid Brazil's accelerating program. **Wheat inspections totaled 0.34 million metric tons**, keeping season-to-date exports near **16.5 million metric tons**, or about **22 percent ahead of last year**, broadly in line with USDA's annual outlook.

Export Sales: Weekly export sales for the week ending January 29 continued to show solid physical movement. Corn net sales totaled 1.62 million metric tons, with shipments of 1.65 million metric tons, confirming sustained pace. Soybean net sales reached 825,000 metric tons, while shipments climbed to 1.3 million metric tons, reflecting strong front-end execution. Wheat net sales totaled 560,000 metric tons, with shipments of 380,000 metric tons, keeping commitments near 90 percent of USDA's forecast. No daily flash sales were reported during the window.

Ethanol Production & Stocks: EIA data for the week ending January 30 (published January 31) showed ethanol production slipping to roughly 0.96 million barrels per day, while stocks declined to about 25.14 million barrels. Blending demand improved to approximately 890,000 barrels per day, supporting stable grind levels even with a softer production print. While margins remain sensitive to energy volatility, ethanol continues to provide a steady floor for corn demand into early February.

CFTC Positioning: Managed money positioning continued to unwind. As of January 27, corn's net short was reduced to approximately 72,000 contracts, the smallest bearish position since mid-2025. In soybeans, funds increased their modest net long to around 17,300 contracts, supported by strong domestic demand and Argentine weather concerns. Chicago SRW wheat remained the most bearish, with a net short near 94,700 contracts, reflecting persistent global supply pressure.

So What? Core U.S. fundamentals remain constructive beneath the surface. Corn exports continue to run well ahead of last year, ethanol grind remains steady, and speculative pressure is easing. Wheat fundamentals are stable but overshadowed by global supply, keeping positioning defensive. Soybeans remain mixed, with domestic demand offsetting weak exports. Across markets, basis and execution continue to provide a clearer signal than futures, suggesting that physical markets remain firmer than the board implies as February begins (no nopa data).

International Reports

Brazil: Brazil remains firmly in control of near-term global supply, though the January soybean export estimate has been revised lower. ANEC now estimates January soybean exports near 3.23 million metric tons, while corn shipments are projected around 3.45 million metric tons, underscoring strong execution despite uneven harvest progress. Northern ports and carryover stocks continue to anchor early-season loadings, allowing exporters to scale shipments even as rainfall slows fieldwork across central regions. FOB soybean offers out of Santos remain competitive into Asia, while corn out of Paranaguá continues to price attractively into Mediterranean and select Asian destinations. Attention is increasingly shifting toward southern Brazil, where persistent moisture is delaying harvest and raising disease risks in Paraná and Rio Grande do Sul, keeping yield visibility a key variable for March–April availability. For now, logistics are functioning, but forward clarity will hinge on how quickly harvest accelerates once weather normalizes.

Argentina: Argentina's production outlook remains fragile. Crop conditions continue to reflect the impact of uneven rainfall, particularly for early-planted soybeans and corn, keeping yield risk elevated. While no new policy changes were announced during the window, farmer selling remains cautious, influenced by currency dynamics and lingering uncertainty around production outcomes. FOB values have adjusted only modestly, with Up-River corn holding near **\$225 per metric ton** and soymeal offers remaining firm, signaling that the market is beginning to price tighter availability without fully repricing volume risk. February weather remains critical, but the focus is gradually shifting from crop stress to the question of how much exportable supply will ultimately materialize.

China: Chinese demand signals remained measured. No large new U.S. purchase announcements were reported during the period, though routine soybean flows continued. Domestic indicators showed slight firmness in futures markets, suggesting marginal improvement in crush economics, but downstream feed demand remains constrained by weak livestock margins. State support for domestic grain markets persisted, limiting urgency for incremental imports. Overall, China continues to act as a stabilizing presence on breaks rather than a driver of sustained upside.

EU / Black Sea: Black Sea origin continues to set the benchmark for global wheat pricing. Russian 12.5 percent protein wheat held near \$229 per metric ton FOB, with January shipments broadly in line with seasonal norms. Ukrainian corn offers remained available near \$235 per metric ton via Danube channels, though demand from EU buyers remained subdued. European wheat values stayed elevated, leaving EU origin largely uncompetitive in recent tenders. With no new logistical or policy disruptions emerging, low-cost Black Sea supply continues to cap upside and anchor global trade flows.

So What? International markets remain defined by execution rather than scarcity. Brazil continues to supply aggressively, Argentina's risk profile is rising but not yet fully priced, and Russia remains the dominant force in wheat. China's demand remains episodic, supportive on breaks but not transformational. The global balance still looks ample on paper, but regional weather and producer selling behavior in South America are becoming increasingly important in shaping forward availability. As February unfolds, global price sensitivity will hinge less on headline supply and more on whether these emerging cracks translate into measurable volume constraints.

Weather & Crop Conditions

United States

Weather impacts during the period remained more logistical than agronomic. Cold conditions persisted across parts of the Midwest and Plains in late January, contributing to ice accumulation along inland waterways and complicating river movement. Snow cover across the Central and Southern Plains remained generally adequate, limiting winterkill risk for hard red winter wheat, while no new USDA winter wheat condition updates were released during the window. Precipitation remained limited across much of the Corn Belt, though no immediate crop stress concerns were identified. River operations continued under draft and tow-size restrictions tied to low water and prior ice damage, while Gulf loading proceeded steadily under ongoing limitations.

Brazil

Brazilian weather remained broadly favorable nationally but uneven across regions. **Continued rainfall** in central and northern producing areas supported soybean development but further slowed early harvest progress, particularly in Mato Grosso and Goiás. In contrast, southern Brazil continued to experience excess moisture, with CONAB reporting increased disease pressure and lodging risks in parts of Paraná and Rio Grande do Sul, where wet soils delayed fieldwork and clouded yield outlooks. While no major national yield revision was issued, field-level crop ratings show increasing variability, with southern conditions now a key factor for second-half supply visibility. So far, weather-related disruptions have not materially impacted logistics, but regional divergence remains a growing concern.

Argentina

Argentina continued to face challenging conditions. MAGyP's latest crop bulletin showed a further drop in good-to-excellent ratings, particularly for soybeans, with only about 19% of the crop now rated G/E, down from 25% a week earlier. Rainfall coverage remained uneven, offering scattered relief but failing to reverse widespread moisture deficits. Late-planted corn is also under increasing stress. With crops in critical reproductive stages, the next two weeks are pivotal for yield retention. Despite the deterioration, FOB offers have yet to reflect the full extent of production risk, keeping attention focused on whether exportable surplus will contract meaningfully.

Global

Outside South America, global weather risks remained limited. Winter wheat across Russia, Ukraine, and the European Union stayed in dormancy under generally adequate snow cover, with no new winterkill threats reported. Black Sea logistics continued without disruption, and weather conditions across other major exporting regions, including Australia and Canada, remained stable. No new global production risks emerged during the reporting window.

So What?

Weather risk is increasingly concentrated in South America. Southern Brazil's excess rainfall and Argentina's entrenched drought have emerged as critical variables for soybean and corn yield potential. Central Brazil continues to support strong overall production, but the southern impact could shape March–April availability. In Argentina, the steep decline in crop ratings underscores rising supply risk, though the market has yet to fully price it in. For the U.S. and other major exporters, weather remains secondary. As February progresses, yield outcomes in southern Brazil and rainfall patterns in Argentina will likely set the tone for market direction.

Synthesis & Outlook

Futures finished the week mixed, with soybeans rallying while corn and wheat held in tight ranges. March corn settled near \$4.28 per bushel, soybeans at \$10.90, and soft red winter wheat around \$5.32. Despite comfortable balance sheets on paper, calendar spreads remain short of full carry, CIF and interior basis levels are holding firm, and physical movement across both export and domestic channels continues to outpace what the board implies. Managed money has reduced short exposure in corn and wheat, while soybeans have shifted to a small net long, reflecting increasing weather sensitivity and crush strength. The disconnect between paper and physical markets persists.

Corn continues to exhibit the clearest divergence between futures and fundamentals. Export inspections remain well ahead of last year, ethanol grind is steady, and lingering logistics constraints are preventing carry expansion despite ample supply. CIF Gulf basis remains supported near +100H, interior markets are stable, and spreads continue to resist widening. Futures remain capped, but the front end is well anchored by execution and downstream demand.

Soybeans are showing renewed strength. Domestic crush demand and firm processor bids continue to anchor the front end, while the board rallied on Argentine weather risks, strong basis, and rising fund interest. Exports still lag under the weight of Brazil's aggressive early-season program, but speculative momentum and biofuel policy developments have lifted sentiment. The balance between bullish U.S. fundamentals and bearish global supply keeps structure firm, even as flat price rises

Bullish triggers: South American weather remains the primary upside risk. Southern Brazil's persistent rainfall and Argentina's intensifying drought are raising production uncertainty, particularly with soybeans in critical stages. In the U.S., ethanol production remains steady, blending demand is improving, and basis strength suggests end users remain active. The Treasury's 45Z biofuel credit proposal has also added optimism to the soy complex. Any flash Chinese demand or renewed logistics bottlenecks could tighten nearby spreads faster than the board implies.

Bearish triggers: Global supply remains ample. Brazil's export program is scaling efficiently, and if weather conditions stabilize in southern Brazil or meaningful rainfall materializes in Argentina, production risk could quickly fade. Ethanol production, while stable, has not reaccelerated, and any sustained softening in grind or basis would challenge corn's front-end support. In wheat, aggressive Black Sea pricing continues to limit upside, and without a clear export acceleration, rallies remain vulnerable to producer selling and speculative pressure.

Watchlist (Feb 05–Feb 12):

Argentina: Do crop conditions stabilize or continue to deteriorate?

Brazil: Does harvest momentum accelerate, particularly in the south?

CIF and interior basis: Early signs of softening versus continued firmness

Ethanol: Can production and blending demand remain stable into February?

China: Any material shift from routine buying to multi-cargo demand

Funds: Further short covering in corn and wheat, or renewed selling pressure?

In summary: The grain complex remains structurally uneven. Futures still suggest theoretical abundance, but spreads, basis, and physical execution point to localized tightness, particularly in corn and soybeans. Wheat stays pressured by global supply, despite steady U.S. shipments. Until full carry emerges or physical demand softens, price discovery will remain shaped more by logistics and cash flow than by speculative sentiment.

Ethanol for America Act

The major barrier to a higher Renewable Fuel Standard (RFS) is the fuel versus food debate. Now is the perfect time to move to E15. Corn prices are extremely low, and the latest USDA *WASDE* reported a record crop and a record crop expansion.

USDA *WASDE* forecast corn production at 16.7 billion bushels, with the yield at 188.8 bushels per acre and ending stocks at 2.1 billion. The season-average corn price dropped 30 cents to \$3.90 a bushel. Most importantly, 2025/26 crop year is expected to have 1.8 billion more bushels than 2024/25.

With current ethanol production consuming 5.6 billion bushels, a 10 percent increase in consumption would consume an additional 560 million bushels. The reality is that year around E15 would add approximately 50 million bushels and regulatory streamlining would add another 50 million bushels. At some point over the next ten years, the additional corn consumption could be 2.8 billion bushels minus lower fuel consumption resulting from electric vehicles. The ethanol corn consumption increase is likely to be more of a S curve as new compacity comes online.

With Brazil and the US corn and soybean production increasing, 100 million bushels of ethanol corn consumption will barely move the needle. The ethanol production capacity expansion that would be three to four years from now is when the corn consumption impact to the corn market would be felt.